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Case Number: 24STCV23449 Hearing Date: July 22, 2026 Dept: 735

Matthew Don

Klempke, et al. v. General Motors LLC

Defendant General Motors LLC's

Demurrer and Motion to Strike

BACKGROUND

Plaintiffs Matthew Don

Klempke and Maria J Favela ("Plaintiffs") filed this action on September 11, 2024, which asserts causes of action for (1) Violation of Civil Code §§ 1793.2(d); (2) Violation of Civil Code § 1793.2(b); (3) Violation of Civil Code § 1793.2(a)(3); (4) Breach of the implied warranty of merchantability, Civ. Code §§ 1791.1, 1794, 1795; and (5) Fraudulent Inducement – Concealment.

In the Complaint, Plaintiffs'

fifth cause of action for fraudulent inducement alleges Defendant General Motors LLC ("Defendant") "concealed and failed to disclose the defective nature" of a 2020 Chevrolet Colorado (Vehicle) that Plaintiffs purchased on February 17, 2020. (FAC, ¶¶ 6, 60.) Plaintiffs allege the Vehicle exhibited transmission defects beginning in 2024 which Defendant failed to repair according to warranty. (FAC, ¶¶ 11-15, 23-25.) Plaintiffs allege Defendant knew about the transmission defects before marketing and selling the Vehicle to Plaintiffs, and equivalent vehicles to consumers like them. (FAC, ¶¶ 60-77.) Defendant demurs to the Fifth Cause of Action.

DEMURRER

The

elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage. Plaintiffs allege Defendant's 8-speed transmissions installed in vehicles like Plaintiffs' "were defective and susceptible to sudden and premature failure." (FAC, ¶ 61.) The defects resulted in "various problems" including jerking, lurching, sudden changes in speed, and inability to control the Vehicle while driving, which "exposes Plaintiffs and their passengers ... to a serious risk of accident and injury." (FAC, ¶ 63.) Plaintiffs also allege Defendant "acquired its knowledge of the Transmission Defect prior to Plaintiffs acquiring the Vehicle, though sources not available to customers such as Plaintiffs, including but not limited to pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers; aggregate warranty data compiled from Defendant GM's network of dealers; testing conducted by Defendant GM in response to these complaints; as well as warranty repair and part replacements data received by Defendant GM from Defendant GM's network of dealers, amongst other sources of internal information." (FAC, ¶ 64.)

Plaintiffs further allege Defendant "marketed and sold its new 8-speed automatic transmissions as having "world-class performance" rivaling top performance vehicles, lightning-fast and smooth shifting, along with improved fuel efficiency, among other representations." (FAC, ¶ 65.) In fact, Defendant's press releases regarding the defective transmissions characterized them as " 'deliver[ing] shift performance ... with the smoothness and refinement that comes with a conventional automatic fitted with a torque converter.' " (Ibid.)

The statute of limitations for a fraud claim is three years. In a portion of the FAC labeled "Some Portions of the Subject Vehicle's Repair History", Plaintiffs allege they presented the Vehicle for repair on April 9, 2024, and Defendant's agents informed them the Vehicle had been repaired. (FAC, ¶ 23.) This is the only date specified in the FAC which would render Plaintiffs' claim timely; otherwise, the only available date for their claim to accrue is the date of purchase in February 2020. In their opposition, Plaintiffs construe this paragraph and the two following it as an allegation that "they presented Subject Vehicle on multiple occasions to GM's authorized repair facilities with complaints relating to the Vehicle's 8-Speed Transmission[, and] GM's dealership(s)

performed diagnostics and/or repairs on these visits, but never disclosed the existence of the Transmission Defect.” (Opp., 5:2-5.)

Plaintiffs mischaracterize the cited portion of their FAC. It specifies one date on which the Vehicle was delivered for repairs; it does not specify when Plaintiffs began experiencing signs of the transmission defect, nor does it describe how many efforts were made to repair it. Thus, the FAC does not identify a date when their cause of action accrued after the date when they purchased the Vehicle. Because the only available accrual date is in February 2020, Plaintiffs must have filed their claim before February 2023. They did not file until nineteen months later, in September 2024.

Plaintiffs also contend the statute should be tolled based on the fraudulent concealment doctrine, but their FAC does not specify how the defect was fraudulently concealed from them after the Vehicle's purchase. Because the claim is time-barred as pleaded, Plaintiffs must plead tolling facts with specificity. They have not done so.

The demurrer is sustained with leave to amend based on the applicable statute of limitations.

The demurrer based on a purported failure to plead fraud with sufficient specificity and a purported failure to allege a transactional relationship is overruled. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828)

MOTION TO STRIKE

Plaintiffs identify decisions made by Defendant's management to continue falsely marketing the defective transmission without regard for public safety. (See FAC, ¶¶ 66-68.) This is sufficient to show at the pleading stage that Defendant fraudulently concealed material facts, at a level of a corporate policy, such that punitive damages might be imposed.

The motion to strike is denied.

CONCLUSION

The Court sustains

Defendant's demurrer with leave to amend.

The Court denies

Defendant's motion to strike.

Defendant

shall give notice.